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23 reasons prediction markets are broken today

10 8 46 4.6K

A lot of people have asked why I'm bearish prediction markets and why Reforge doesn't have a horse in this race (yet). Here's why:

1. PMs require full collateralization with no lev. compared to perps where margin is ~5-10% of notional, capital efficiency will be 10-20x worse. This isn't accounting for zero yield on locked capital and no cross-margining relief across positions
2. Capital velocity is structurally destroyed bc capital is locked for the full contract duration with a binary payoff at the end. After resolution, inventory dies so no balance sheet efficiency or compounding of market maker capital. The same capital recycled in a perps book over the same period will generate way more turns (5-10x): inventory recycles, positions roll, and hedging is continuous
3. LP inventory is categorically broken bc half the book is guaranteed to zero at resolution. for ex, spot pools rebalance between assets that retain value. with pm's, there's no rebalancing and no residual so all that's left is binary collapse for the losers
4. Unlike commodities, rates, or fx, there are no natural hedgers providing opposing flow in PMs. No entity or trader has a natural economic need to be on the other side of event risk. Market makers face pure adverse selection with no structural counterparty. This is a fundamental limitation to really scaling these markets
5. Adverse selection gets worse as as markets approaches resolution. Traders with edge or more accurate info can buy the winning side from losers at improving prices while the latter is still pricing on stale priors. This bleed is structural and gets worse over time
6. Bootstrapping is a structural liquidity trap: new markets have no liquidity so informed traders don't have incentive to show up (and not get crushed on slippage), so long as prices are inaccurate, more traders won't show up. the long tail dies before it starts and no subsidy fixes the chicken/egg problem
7. No endogenous demand loop. Every dollar of volume depends on exogenous attention (e.g., elections, news cycles, sports) with nothing sustaining it between events. Alternatively, perps create an internal flywheel: trading generates funding, funding creates arb, arb brings in more flow
8. There is no connection to risk premiums, carry, or factor exposure. Institutional capital has no systematic framework to size, allocate, or risk-manage these positions. Talk to any legit trader and these prediction markets don't don't fit any standard portfolio construction language or strategy to actually scale
9. Liquidity resets to zero at every resolution and must be rebuilt from scratch. Compounding and accumulation of open interest and depth over time with perps is structurally impossible with prediction markets
10. Subsidies are the only reason spreads don't blow out permanently. How much more market-maker incentives are needed? book collapses when subsidies collapse. bribed liquidity = broken, short-term market structure
11. The conditions that maximize trading activity are not the same as the

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try @TrendleFi and you'll cross out the majority of points you've mention within this piece of writing

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smac @0xsmac · 15h
brother i cannot WAIT to read the hate that comes for you

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Fozzy @fozzydiablo · 15h
AI slop

4 144

rocky @chamathsintern · 12h
such elegantly put

2 93

0xFudrick @0xFudrick · 50m
Great writeup.

Working on solving parts of problems 1.-3. let's chat sometime!

1 12

Ben Lakoff @benlakoff · 13h
👀

2 93

Tradfibaby @TradfiBaby · 11h
yeah but my prediction market trading terminal with 0 fee will fix this

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